

Quality Management (Engagement Level) ISA 220—Issues Paper

Objective of Agenda Item

The objective of this Agenda Item is to approve draft proposed ISA 220 (Revised)¹ for exposure.

A. Introduction

1. Since the September 2018 IAASB meeting, the ISA 220 Task Force (the Task Force) has focused on:
 - Addressing the comments received from Board members, both during the plenary session and offline (See Appendix A for a summary of how the matters were addressed);
 - Coordinating with the Task Forces responsible for revisions to ISQM 1² and the ISQM 2³ to align the revisions;
 - Addressing comments received from the Data Analytics Working Group and the International Ethics Standards Board for Accountants (IESBA); and
 - Improving the readability and understandability of the standard, where necessary.

This paper describes how the significant comments were addressed (see Appendix A).

2. This paper is organized as follows:

Section B	Drafting Approach and Coordination with the other IAASB Task Forces and Working Groups
Section C	Possible Matters to Address in the Explanatory Memorandum
Section D	Due Process Matters
Appendix A	Disposition of Board Comments
Appendix B	Task Force's Activities, including Outreach and Coordination
Appendix C	Draft IAASB Meeting Minutes (September 2018)

3. The Task Force has prepared the following agenda material to support the IAASB's discussions:

Agenda item 3-A	ED of Proposed ISA 220 (Revised) - Marked to September 2018 IAASB meeting
Agenda Item 3-B	ED of Proposed ISA 220 (Revised) - Clean
Agenda Item 3-C	ED of Proposed ISA 220 (Revised) - Marked to Extant ISA 220

¹ Proposed International Standard on Auditing (ISA) 220 (Revised), *Quality Management for an Audit of Financial Statements*

² Draft Proposed International Standard on Quality Management (ISQM) 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance and Related Services Engagements*

³ Draft Proposed ISQM 2, *Engagement Quality Reviews*

4. The Board discussion will follow **Agenda Item 3-A**. Within **Agenda Item 3-A**, paragraphs or language highlighted in grey indicate wording that is intended to align with proposed ISQM 1 and proposed ISQM 2.
5. The IAASB's attention is also drawn to **Agenda Item 5**, which is a joint issues paper summarizing common topics across the QM Task Forces.⁴ Those topics include:
 - Coordination between the QM Task Forces;
 - Conforming amendments;
 - Explanatory memoranda for the QM projects, including the proposed exposure period and the proposed effective date;
 - Outreach activities; and
 - Non-authoritative material

Agenda Item 5-A is a joint QM Task Forces paper that includes the conforming and consequential amendments for all the quality management projects.

B. Drafting Approach and Coordination with the other IAASB Task Forces and Working Groups

6. Given that there were relatively few comments on the proposed ISA 220 (Revised) presented at the IAASB's September 2018 IAASB meeting, many of the changes in the document arise from offline comments received during, and subsequent to, the September 2018 Board meeting and matters related to topics arising from coordination with the other QM Task Forces. Responses to comments include:
 - “The engagement partner shall be satisfied” vs. “The engagement partner shall determine” – The Task Force used “shall be satisfied” when referring to the engagement partner’s response to actions that occur (or should have occurred) at the firm level. “Determine” has been used when referring to actions that the engagement partner is required to make.
 - The full phrase “audit engagement” is used within proposed ISA 220 (Revised) only in the first instance in a paragraph. Subsequently, only the word “engagement” is used.
 - The Task Force verified that all uses of the phrase “policies or procedures” in proposed ISA 220 (Revised) are correct and are, in the Task Force’s view, in line with proposed ISQM 1. Paragraph 4 in **Agenda Item 3-A** was amended to help reader’s understand the relationship between the firm’s responses and policies or procedures. In the view of the Task Force, the firm designs and implements responses in the form of policies or procedures that the engagement team must follow.
 - Following feedback received, certain proposed amendments to proposed ISA 220 (Revised) regarding group auditors and component auditors have been held over for the Group Audits Task Force to address as part of the project to revise ISA 600. This affects paragraphs A12, A18, A80, and A83 in **Agenda Item 3-A**.
 - Further changes to reflect input received from the Data Analytics Working Group have resulted in changes to paragraphs A54, A57–A59, and A63 in **Agenda Item 3-A**.

⁴ The ISQM 1 Task Force, the ISQM 2 Task Force, and the ISA 220 Task Force are referred to collectively, as the QM Task Forces.

C. Possible Matters to Address in the Proposed ISA 220 (Revised) Explanatory Memorandum (EM)

7. Consistent with the focus of the ISA 220 project on those areas of public interest that were identified in the project proposal, the Task Force has discussed potential matters to be highlighted in the EM:
 - (a) Public Interest Issues Addressed in ED-220
 - i. The relationship between proposed ISA 220 (Revised) and the ISQMs
 - ii. Scalability of quality management and how it is implemented at the engagement level
 - iii. Modernizing and updating the ISA for an evolving business environment, including technologies
 - iv. Professional skepticism
 - (b) The Firm's System of Quality Management and Role of Engagement Teams
 - (c) Leadership Responsibilities for Managing and Achieving Quality on Audits, including Engagement Performance and the Stand Back
 - (d) Relevant Ethical Requirements
 - (e) Acceptance and Continuance
 - (f) Engagement Resources
 - (g) Other Matters (a brief description of the other significant changes proposed)
8. The Task Force has considered the areas that might be the subject of specific questions in the EM:
 - Whether the introductory material related to public interest, professional judgment and professional skepticism will improve audit quality, assist the engagement partner in setting the right tone for the engagement team, and clarify the expected behavior of the engagement team.
 - In respect of ISQM 1, whether the relationship between the ISQM and ISA 220 (Revised) is clear. In particular, is it clear whether, and the degree to which, the engagement partner may depend on the firm's system of quality management?
 - Whether there is support for the proposed amendments to strengthen the engagement partner's leadership responsibilities, including:
 - Whether the engagement partner's ability to assign procedures, tasks, or actions to others on the engagement team, has been appropriately addressed.
 - Whether the requirements related to direction, supervision, and review been appropriately addressed.
 - Whether the use of automated tools and technology is appropriately addressed.
 - Whether there is support for the new requirement for the engagement partner to determine whether the engagement partner's involvement has been sufficient and appropriate throughout the audit engagement in taking overall responsibility for managing and achieving quality.
 - The clarity and ability to practically apply ISA 220 (Revised). Specifically for small and medium-sized practices, this would include whether the standard is sufficiently scalable and contains appropriate examples to demonstrate scalability.

Matter for IAASB Consideration

- 1) The IAASB is asked whether there are other matters that should be addressed in the EM.

D. Due Process Matters

9. In the Task Force's view, the significant matters identified as a result of its deliberations from the beginning of this project, have been presented in the issues papers presented to the Board for discussion. In the view of the Task Force there are no significant matters that have not been brought to the attention of the IAASB.
10. The Task Force does not believe that a consultation paper or field testing is needed at this stage of the project, as substantial outreach with a wide range of stakeholders has been undertaken.
11. Task Force is seeking the Board's views on whether roundtables may be helpful in soliciting stakeholder input. The Task Force believes there is some benefit to holding global roundtables for all three quality management projects as a way of obtaining input from a wider variety of stakeholders than may be inclined to submit comment letters. The Task Force also believes that webinars should be conducted during the exposure period.

Matter for IAASB Consideration

- 2) The IAASB is asked to consider the changes proposed by the Task Force as shown in **Agenda Item 3-A**, and to approve it for exposure.

Appendix A

Disposition of Board Comments

Note: This Appendix explains how the Task Force has further considered and addressed the following key issues raised both at the September 2018 IAASB meeting plenary session, as well as offline comments received from Board members. It includes the relevant references to the material located within proposed ISA 220 (Revised) at **Agenda Item 3-A**.

Paragraph Number (Agenda Item 3-A)	Nature of Suggested Revision	Task Force Response
11, A22	Clarify the reference to “expected behaviors”	- Paragraph 11 was modified to make clear that it is the engagement partner’s responsibility to create an environment that emphasizes the firm’s culture and the expected behavior of engagement team members. - Paragraph A22 provides further clarity on what expected behavior includes and now links better to the firm’s professional values and attitudes (see paragraph A24 of ISQM 1).
12, A30	Address when there are multiple layers of leadership within a team, and the “tone in the middle”	- The revisions to these paragraphs make clear that others to whom supervisory roles are assigned have the same responsibility as the engagement partner with regard to the procedures, tasks, or other actions assigned. Revisions to paragraph 12 also clarify that the requirement for the engagement partner to take clear, consistent and effective actions that reflect the firm’s commitment to quality extends to others to whom supervisory roles have been assigned. - Paragraph A30 was amended to include the assignment of supervisory roles as an example of how the engagement partner may assign responsibility for procedures, tasks, or other actions to appropriately skilled or suitably experienced members of the engagement team.
22, A51	Alignment of requirements dealing with when the engagement partner obtains information that would have	Paragraph 22 was modified to say “may have caused the firm to decline the audit engagement.” The use of “may” is intended to avoid narrowing the requirement by essentially requiring the engagement partner to only communicate after

Paragraph Number (Agenda Item 3-A)	Nature of Suggested Revision	Task Force Response
	cause the firm to decline the audit engagement	determining that the firm would decline the engagement. Paragraph A51 has consequential changes from the change to paragraph 22, and to address board comments about the clarity of the paragraph.
30, 31	Clarify whether the engagement partner must review the final draft of the financial statements, auditor's report and written communications	The Task Force removed the phrase "final draft" from these paragraphs in light of concerns that even minor editorial changes to either the financial statements, the auditor's report, or formal written communications would require re-review by the engagement partner. Additionally, the Task Force reconsidered that the phrase "prior to dating" and "prior to their issuance" was sufficient in conveying the timing of when these reviews are expected to take place.
36(b), A98	Clarifying the engagement team's response when one or more components of the system of quality management are not effective.	The Task Force notes that paragraph A98 gives examples of additional remedial actions that the engagement partner may take at the engagement level in relation to deficiencies identified at a firm level.
37, A101	Address how the engagement partner may determine whether paragraph 23A has been complied with.	The Task Force added paragraph A101 to provide relevant considerations in addressing the requirement in paragraph 37, including determining how the engagement partner has complied with the requirements of this ISA, given the nature and circumstances of the audit engagement, and how the audit documentation evidences the engagement partner's involvement in the engagement.
A7, A34, A59	Strengthen and clarify material addressing when, and the degree to which, the engagement partner may depend on the	- Amended the language in paragraph A7 to include the degree to which the engagement partner may be able to depend on the firm's policies or procedures. - The Task Force also added paragraph A34 to make it clear the engagement partner determines whether, and if so, the degree to which the engagement

Paragraph Number (Agenda Item 3-A)	Nature of Suggested Revision	Task Force Response
	firm's policies or procedures	partner may depend on the firm's policies or procedures.
A27	Address overreliance on tools and templates	Added a bullet point that notes that overreliance on tools and templates may undermine the exercise of professional skepticism.
A31	Refer to relevant ethical requirements that may only be relevant for certain engagements (i.e. Listed entities)	Clarify that relevant ethical requirements may vary depending on the nature and circumstances of the audit engagement, for example there may be requirements pertaining to independence that are applicable only when performing audits of listed entities.

Appendix B

Task Force Activities Including Outreach and Coordination

1. The following sets out the activities of the Task Force, including outreach with others and coordination with other IAASB Task Forces and Working Groups relating to the ISA 220 project since September 2018.

Task Force Activities since the last IAASB Discussions

2. Since the September 2018 IAASB meeting, the Task Force has met once in person, and held two teleconferences. In addition, the Drafting Team met once in person and twice by teleconference.

Outreach

3. Since the September 2018 IAASB meeting, the Chair of the Task Force, individually or in conjunction with the other Quality Control projects, conducted outreach with the following groups:
 - Quality Control Projects Webinar with the International Federation of Accountants Small and Medium Sized Practices Committee (September 2018);
 - 2.5 hour deep dive session with the Forum of Firms (October 2018);
 - Teleconference with The International Forum of Independent Audit Regulators Standards Coordination Working Group (November 2018); and
 - Teleconference with the International Organization of Securities Commissions (November 2018).

Additionally, there have been various discussions related to ISA 220 in other broader outreach efforts conducted by the IAASB Chair or Deputy Chair.

Appendix C

September 2018 Draft Meeting Minutes – Quality Management – Engagement Level (ISA 220)⁵

Ms. Zietsman provided an update on the project and presented a revised draft of proposed ISA 220 (Revised).⁶ The Board expressed support for the direction of the proposed changes to ISA 220, and noted various areas for consideration by the ISA 220 Task Force mentioned below. She noted that further coordination was planned to fully align the various quality control projects, including the project to revise ISA 220.

OVERALL COMMENTS

The ISA 220 Task Force was asked to consider whether phrases such as “the engagement partner shall be satisfied” are sufficiently robust to drive improved quality, or whether a more action-oriented verbs such as “determine” or “conclude” may be more appropriate. Ms. Zietsman noted that the verb “be satisfied” was used deliberately when an action is needed at the firm level and the engagement partner needs to be satisfied that the action was undertaken, but the ISA 220 Task Force will reevaluate the use of “be satisfied” to ensure that it is used appropriately.

SPECIFIC COMMENTS

The Board discussed whether it was appropriate to use the phrase “sufficiently and appropriately” as it relates to the engagement partner’s involvement throughout the audit engagement given that terms “sufficient and appropriate” are defined in the context of audit evidence. The Board discussed the matter and concluded that the phrase should be retained in proposed revisions to ISA 220. The Task Force was also asked to consider whether additional application material would be helpful.

In addition to other comments, including minor suggestions and clarifications, the Board asked the Task Force to consider the following:

- In relation to references in requirements to the firm’s policies or procedures, and noting the Board’s support for the overall approach to dealing with firm policies or procedures in the requirements and related application material of proposed ISA 220 (Revised), the Task Force was asked to consider whether a matching requirement was needed in ISQM 1 to require engagement teams to comply with the firm’s policies or procedures. The Task Force was also asked to provide guidance on whether, and if so, the degree to which the engagement partner can depend on the firm’s policies or procedures.
- Whether the statement about audits of financial statements being performed in the public interest and the engagement partner and engagement team’s responsibilities could be made more nuanced as it is the standards that are set in the public interest and that audits performed in accordance with the standards are in the public interest.
- In relation to the objective, whether:
 - o To reference public interest in the objective;
 - o To remove the direct reference to managing quality, as a quality audit engagement is the result of fulfilling paragraph 6(a) and (b)

⁵ These draft minutes are still subject to IAASB review and may therefore change.

⁶ Draft Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

- In relation to the definitions, whether:
 - o Whether the proposed changes would inadvertently cause various parties to be included in the definition of “engagement team,” including component auditors and experts. It was agreed that specific references to component auditors would be removed from the application material, and dealt with by the ISA 600 Task Force. The Task Force was also asked to consider providing additional guidance on the need for judgment when determining whether a procedure is an audit procedure.
- In relation to engagement resources, whether guidance should be provided on engagement teams’ use of specialists or other resources (technology) that have not been sanctioned by the firm.
- In relation to paragraph 17A, whether the engagement partner should be required to review the audit documentation regarding the rationale for the conclusions.
- Whether the requirement to review the “final” draft of the financial statements and the auditor’s report may be overly onerous when the final draft contains only minor or editorial changes.
- Whether the application material related to consultations would lead to too many consultations being required, specifically those in regard to significant risks.
- Whether more guidance needs to be provided on the implication at the engagement level if one or more components of the system of quality management are not effective.
- Whether guidance can be provided on how the engagement partner can make the determination that the engagement partner’s involvement has been sufficient and appropriate.

IAASB CAG CHAIR’S REMARKS

Mr. Dalkin commented that, in his view, the discussion of proposed draft ISA 220 (Revised) was generally supportive of the proposed revisions to the standard. He noted that the issue of scalability was raised but that there was a general sense that proposed draft ISA 220 (Revised) was scalable.

PIOB REMARKS

In relation to the discussion on the use of “sufficiently and appropriately” as it relates to the engagement partner’s involvement in the audit engagement, Prof. Van Hulle suggested that this phrase be removed entirely because the engagement partner needs to be involved.

NEXT STEPS

The ISA 220 Task Force will present a revised draft of proposed ISA 220 (Revised) for approval for public exposure at the December 2018 IAASB meeting.